Digital Replicas, Captured Regulators, and the Invisible Middle: AI Regulation in the U.S. Acting Industry

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GPPS 441: Government and Regulation
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March 2026

I. INTRODUCTION

The call time is 5:30 a.m. A background actor arrives on a studio lot somewhere in Los Angeles, checks in with the Production Assistant at a makeshift sign-in booth, and is handed a form alongside the standard paperwork—beginning a workday that could stretch anywhere from six to twenty hours. Today's extra form is not a standard release or a hopeful pay bump for the day. It asks for consent to digitally scan their body—facial expressions, posture, the way they walk—and to use that scan throughout the production. Signing seems harmless and routine, just part of checking in for the day. Refusing is technically permitted, but the background actor knows, practically, that refusing today's opportunity may mean not being called back and forfeiting that promised income. And if they are a SAG-AFTRA member, refusing could jeopardize the Taft-Hartley days they need for health insurance eligibility. The form is signed.

This scene—mundane, coercive, largely invisible to the public—is the ground-level reality of artificial intelligence regulation in the American entertainment industry. When SAG-AFTRA ratified its new contract with the Alliance of Motion Picture and Television Producers (AMPTP) on December 5, 2023, after a 118-day strike, the union declared a landmark victory. The contract promised over $1 billion in new wages and residuals, explicit consent requirements for digital replicas, and the first-ever contractual framework governing AI likeness in Hollywood.

Yet 22 percent of SAG-AFTRA members voted against ratification—a striking dissent rate for a contract characterized as transformative.[1] That number is worth investigating. Why would nearly one in four union members reject a "landmark" contract? The answer, this paper argues, reveals the structural limits of collective bargaining as a mechanism for AI governance.

This paper makes three arguments. First, AI likeness technology—at least as it has been implemented and regulated so far—constitutes a textbook market failure: information asymmetries between studios and performers, combined with externalities concentrated on the industry's most vulnerable workers, prevent efficient contracting without regulatory intervention. Second, the 2023 SAG-AFTRA contract was shaped by classic Stiglerian regulatory capture—the AMPTP functioning as a coordinated cartel extracting favorable terms—and by Tirolean collusion dynamics operating on two levels: SAG-AFTRA leadership, as an intermediary supervisor, filtered information flows and produced agreements that diverged from rank-and-file preferences; and the union's own democratic structure created a principal-agent problem in which members who elected representatives to negotiate on their behalf were then handed a binary ratification vote on a completed deal they had no role in shaping. Third, collective bargaining is structurally insufficient as the primary regulatory mechanism for AI in entertainment: it excludes non-union performers entirely, it expires (the current contract runs only through June 30, 2026), and it cannot address the irreversibility of training data already ingested by studio AI systems.

Effective regulation requires a federal statutory baseline, an independent audit body, and explicit coverage of non-union and background performers—the workers most exposed and least protected.

II. INDUSTRY BACKGROUND

A. The Structure of the Acting Labor Market

SAG-AFTRA represents approximately 160,000 members across film, television, radio, and digital media.[2] But the SAG-AFTRA contract governs only union members. The broader entertainment labor market—background performers, non-union day players, low-budget production workers—extends well beyond this boundary and operates largely without the protections the union contract provides.

Within the union itself, a critical structural divide separates principal performers from background actors. Principal performers—speaking roles—receive residuals from streaming and syndication, substantial day rates, and the full suite of AI protections negotiated in 2023. Background actors work under Schedule X of the SAG-AFTRA contract and earn flat day rates with no residual stream. As of the contract period beginning November 9, 2023, the General Background Actor rate was $208 per day.[3] That rate covers not only the day's work but, under the 2023 agreement, also the creation and same-production use of a digital replica scan.

This asymmetry matters enormously. A principal performer's digital replica—say, a recognizable face—is subject to individualized consent, 48-hour advance notice, and additional compensation requirements under the 2023 contract. A background actor's digital replica is purchased, in effect, for a one-off day rate of $208.

B. The Intermediary Chain

The production labor market operates through a multi-tier intermediary chain with layered principal-agent dynamics at every level. A non-union background actor seeking work contacts a casting agency (e.g., Central Casting, a subsidiary of Entertainment Partners). The casting agency interfaces with production casting departments. Production casting works with production HR and payroll. At the top sits the studio, operating through the AMPTP.

This structure creates layered information asymmetries. Background actors receive last minute instructions through intermediaries who themselves have financial relationships with studios. The casting agency's continued contract with the studio depends on compliant talent delivery. The background actor at the bottom of the chain has no direct relationship with the studio and no independent leverage. This is the fragmented labor market into which AI consent forms are introduced.

C. The Strike and Its Resolution

The 2023 labor action was, in fact, two overlapping strikes. The Writers Guild of America struck from May 2 through September 27, 2023 (148 days). SAG-AFTRA struck from July 14 through November 9, 2023 (118 days).[4] Together, they constituted the most significant labor action in Hollywood in decades, shutting down virtually all scripted production in the United States.

The SAG-AFTRA contract was ratified on December 5, 2023, by 78 percent of voting members—with 22 percent opposed.[5] The contract runs through June 30, 2026. Key provisions include new compensation structures for streaming residuals, explicit AI consent requirements for digital replicas, and a $500 million AI fund to compensate performers affected by AI use. The AMPTP simultaneously claimed aggregate new compensation of over $1 billion.

III. MARKET FAILURE: WHY THE ACTING INDUSTRY CANNOT SELF-REGULATE AI

A. Information Asymmetry

The classical case for regulation rests on market failures that prevent efficient private contracting. As Stiglitz argues, markets left to themselves will systematically underprovide public goods and fail to account for externalities—conditions that justify regulatory intervention even when it is imperfect.[11a] AI likeness technology in entertainment exhibits at least two such failures: severe information asymmetry and concentrated externalities.

Major studios—Warner Bros. Discovery, Disney, Universal, Netflix—have dedicated machine learning teams who spend their careers developing, deploying, and monetizing AI systems for production. The background actor handed a consent form at 5:30 a.m. has none of that. They cannot assess which models will be trained on their scan, how long that personal data will be retained, how the synthetic replica might be deployed in productions not yet greenlit, or what their likeness data might be worth to a studio's AI division five years from now. The studio knows exactly what it is buying. The performer has no idea what they are selling.

The SAG-AFTRA Background Actors Contracts Digest, updated February 2025 notes that digital replica consent for background performers requires a "separate, specific written consent" distinct from the general work agreement.[6] This sounds protective on the surface, but the requirement of a separate signature does not change the underlying power dynamic. A performer who refuses may not be called back and forfeits the day's pay. The casting intermediary, whose contract with the studio depends on delivering compliant talent, has no incentive to tell them otherwise. SAG-AFTRA's own AI Basics Bulletin, issued in July 2024—eight months after contract ratification—clarified that voucher-based consent (the standard paperwork used for many background performers) was indeed insufficient; explicit standalone consent was required.[7] The fact that this clarification came eight months post-ratification suggests that the informational deficiency was not resolved by contract; it was embedded in it.

B. The Health Insurance Coercion Problem

The coercive structure of consent is amplified by SAG-AFTRA's health insurance eligibility requirements. SAG-AFTRA members must meet earnings thresholds—tied to covered employment—to maintain health insurance. Background work on union productions counts toward those thresholds. A background actor who refuses an AI scan consent form risks not being rebooked on that production, which reduces covered earnings, which may affect insurance eligibility.

SAG-AFTRA's own FAQ acknowledges the coercion problem directly. In response to the question of whether a producer can refuse to hire a performer who declines to give AI consent, the union states: "The short answer is yes. Producers have always been able to refuse to hire any person for any reason."[8] This admission—that the contract cannot prevent retaliation for consent refusal—is a confession of market failure, not a regulatory solution.

C. Employment Data: The Structural Collapse

The market failure argument is reinforced by employment data. Using the Bureau of Labor Statistics Quarterly Census of Employment and Wages (QCEW), covering private-sector establishments in NAICS 5121 (Motion Picture and Sound Recording Industries), it is possible to construct a longitudinal picture of industry employment at both the national and Los Angeles County levels.[9]

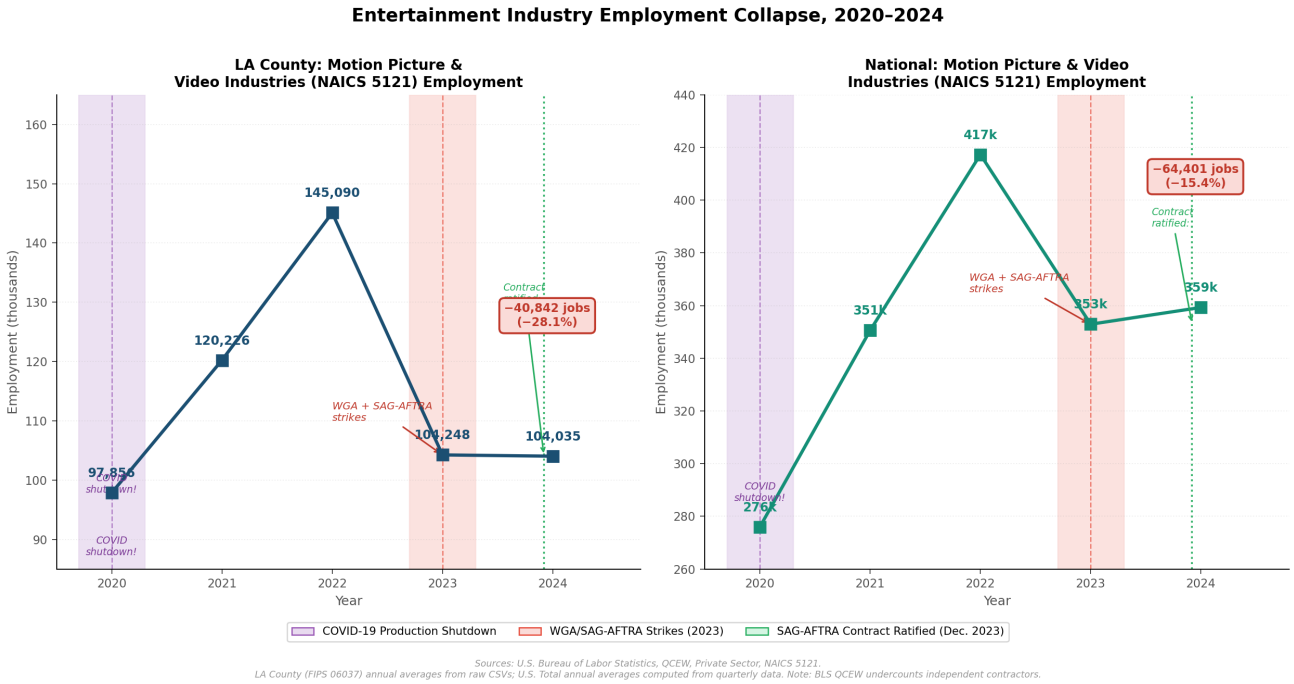


Figure 1. Motion Picture Industry Employment (NAICS 5121, Private Sector), 2020–2024. LA County (left axis, navy) and U.S. National (right axis, teal). Annual averages computed from BLS QCEW data. Shaded regions indicate WGA strike (gray), SAG-AFTRA strike (red), and post-contract period (green).

The employment data reveal a pattern that is not merely cyclical. Los Angeles County employment in NAICS 5121 peaked at 145,090 in 2022 and fell to 104,248 in 2023—a decline of 40,842 jobs,

or 28.1 percent. Nationally, employment fell from 417,314 to 352,913, a decline of 64,401 jobs (15.4 percent). Both declines are attributable in part to the 2023 strikes. But the recovery patterns diverge sharply: national employment partially recovered to 359,285 in 2024 (+1.8 percent), while LA County employment was essentially flat at 104,035 in 2024 (−0.2 percent). Los Angeles—the geographic center of the industry—shows no recovery.

This geographic divergence suggests something beyond cyclical strike disruption. Los Angeles is not simply recovering slowly; it is not recovering at all. The county that has historically functioned as the physical infrastructure of American entertainment—the sound stages, the crew guilds, the casting pipelines, the entire ecology of support work that surrounds a film production—has shed 40,000 jobs in a single year and added essentially none back. That is not a hangover. That is a structural reorientation.[10]

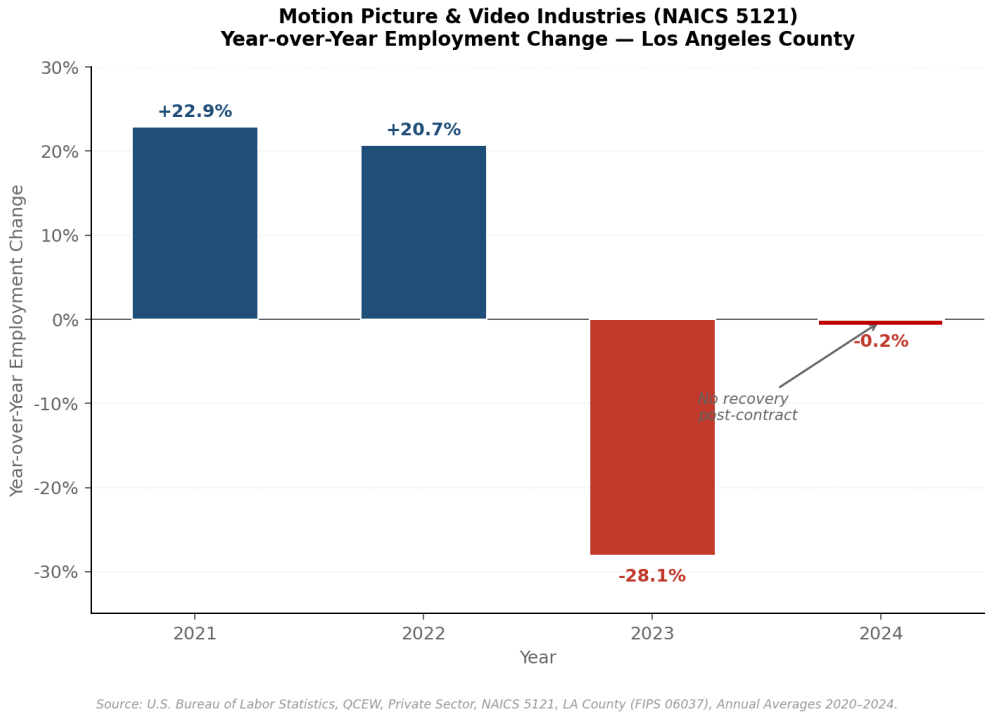


Figure 2. Year-over-Year Employment Change (%), NAICS 5121, 2020–2024. LA County (navy) vs. U.S. National (teal). LA's flat 2024 recovery contrasts with modest national rebound.

Three forces are converging to hollow out Los Angeles as an entertainment employment center. First, production incentive programs in Georgia, New Mexico, the United Kingdom, and Canada have steadily drawn lower-margin productions away from LA for years; the strikes accelerated the migration of projects that had already been considering cheaper locations. Second, AI-enabled efficiencies are reducing crew-size requirements for the productions that do remain. A scene that previously required forty background performers to populate a crowd can now be shot with four and digitally expanded; a visual effects sequence that required a hundred artists can be generated by a smaller team using AI-augmented tools. Third, these two forces are not independent: the AI efficiencies make out-of-state and international production even more attractive, because the high-

density crew infrastructure that previously justified paying LA premiums is precisely what AI is making less necessary. The result is a negative feedback loop in which AI-driven labor savings reduce the comparative advantage of the city most dependent on entertainment employment.

CVL Economics, in a February 2024 report commissioned by the Animation Guild, estimated that 204,000 entertainment industry jobs face adverse AI impacts over the next three years—a projection that the LA County data suggests may already be playing out, geographically concentrated in the county where employment density was highest and the adjustment costs are steepest.

The Great Gatsby Curve—the observation that higher aggregate inequality correlates with lower intergenerational mobility—offers an analogous lens for labor regulation.[10a] The 2023 contract generates aggregate gains—$1 billion in new compensation—while concentrating losses among background performers and non-union workers, precisely those with the least capacity to absorb displacement. The distributional outcome is inversely correlated with need.

IV. REGULATORY CAPTURE AND COLLUSION IN THE NEGOTIATING PROCESS

A. Stigler's Theory Applied: The AMPTP as Rent-Seeker

George Stigler's 1971 theory of regulatory capture argues that regulation is not primarily a response to market failure but a resource allocated through political competition. Regulated industries, he argues, are often the primary beneficiaries of their own regulation, having organized effectively to capture the regulatory process while diffuse interests—consumers, unorganized workers—bear the costs.[11]

> *"If voter group X wants a policy that injures non-X by a small amount, it will not pay non-X to discover this... The basic determinant of the distribution of regulatory benefits is the relative effectiveness of the groups seeking those benefits." — Stigler (1971, pp. 10–11)*

This logic maps precisely onto the 2023 SAG-AFTRA negotiation. The AMPTP is among the most effectively organized collective bargaining entities in American labor history, representing Disney, Netflix, Amazon, Warner Bros. Discovery, Apple, and other major studios. Founded in 1924, the AMPTP functions as a coordinated cartel for the purposes of labor negotiations—a structure that would be illegal in most product markets but is permitted under labor law.[11c]

Stigler identifies four instruments through which regulated industries capture regulatory outcomes: control of entry, influence over substitutes, direct subsidies, and the shaping of rules affecting complementary industries. In the 2023 negotiations, the AMPTP deployed analogues to at least three of these instruments. The Schedule F exemption—which excludes performers earning above $80,000 per film from certain AI consent requirements—effectively limits the scope of protection to less commercially valuable talent. The absence of any prohibition on training data use ensures

that studios may continue to build AI systems using previously captured performer data, a structural advantage that compounds over time. And the failure to extend protections to non-union performers preserves the AMPTP's ability to substitute non-union labor for union labor in AI-intensive workflows.

The background actor is Stigler's 'non-X': too dispersed to organize, too small individually to sue, and too economically precarious to refuse. The studio is the organized X, with legal teams, AI development divisions, and contract negotiators whose full-time work is extracting favorable terms.

But pure Stiglerian capture — in which a single organized industry simply hijacks the regulatory process — does not fully explain the shape of the 2023 contract. Sam Peltzman's 1976 extension of Stigler is more precise here. Peltzman argues that regulators do not merely serve the most organized interest group; they maximize political support by assembling a winning coalition, allocating regulatory benefits broadly enough to secure ratification while protecting the core interests of the most powerful party.[11b] The 2023 contract is a Peltzman coalition made visible. Principal performers — a large, organized, commercially valuable bloc — received genuine protections: informed consent requirements, 48-hour notice, additional compensation for digital replica use. These wins were real enough to secure a 78 percent ratification vote. Background performers and non-union workers, diffuse and low-leverage, received the residual: a $208 day rate that bundles scan consent into a single day's work, with no anti-retaliation provision and no audit mechanism. Stigler explains why the AMPTP organized to capture the process. Peltzman explains why the resulting contract looks the way it does — generous enough at the top to pass, protective of studio interests everywhere it counts.

B. Tirole's Principal-Agent Model: Collusion in the Hierarchy

Jean Tirole's 1986 analysis of hierarchical principal-agent problems identifies a risk that is distinct from, and in some ways more insidious than, Stiglerian capture: the risk that the supervisor in a three-tier hierarchy colludes with the agent against the principal's interests, or alternatively, with the principal against the agent's.[12]

In Tirole's framework, the principal is the SAG-AFTRA membership — the 160,000 members whose interests the contract is supposed to serve. The supervisor is SAG-AFTRA leadership — the executive director, negotiating committee, and board — whose role is to act on the membership's behalf and transmit information between the membership and the bargaining table. In Tirole's framework, the risk is precisely that this supervisor, by virtue of controlling that information flow, has the capacity and incentive to filter it in ways that serve institutional interests over member interests. In the 2023 negotiations, this dynamic manifested in at least two ways.

First, the negotiations were conducted under non-disclosure agreements, meaning the membership had no visibility into the terms under discussion until a final agreement was presented. The ratification vote—a binary yes/no on a completed contract—gave members roughly 4-weeks to

review a document representing months of negotiation. The informational asymmetry between SAG-AFTRA leadership (which had full information throughout) and the membership (which received information only at the end) mirrors Tirole's supervisor-principal information gap precisely.

Second, the 22 percent dissent rate is, in Tirole's framework, evidence of revealed preference. When the supervisor presents a completed negotiation to the principal as a take-it-or-leave-it choice, and nearly one in four principals rejects it, the rational inference is that the contract does not adequately represent their interests. The dissenting 22 percent is likely skewed toward background performers and low-earning members — those for whom a $1 billion headline number meant very little on a single $208 day rate.

C. Maskin-Tirole and the Case for Independent Oversight

The Maskin-Tirole framework extends this analysis by showing that even well-intentioned supervisors can produce distorted regulatory outcomes when they face informational constraints and incentive misalignments. The implication is not merely that SAG-AFTRA leadership acted in bad faith—the evidence does not support that inference—but that the structure of collective bargaining negotiations systematically produces information filtering that disadvantages the least organized and least visible workers.

This is the strongest argument for federal regulatory intervention: not that unions are corrupt, but that the institutional structure of collective bargaining creates conditions under which Maskin-Tirole distortions are nearly inevitable. An independent oversight body with access to negotiation processes, AI deployment data, and enforcement authority breaks the supervisor-agent information coalition that Tirole's model identifies as the core problem.

V. THE 2023 CONTRACT: WHAT IT COVERS AND WHAT IT DOES NOT

A. Protections for Principal Performers

The 2023 SAG-AFTRA contract introduced genuinely novel AI protections for principal performers. The contract distinguishes between two categories of AI-generated content: Digital Replicas and Synthetic Performers.

A Digital Replica is defined as a computer-generated depiction of a specific, identifiable performer's face or body, created using that performer's likeness data. Under the contract, creating a Digital Replica requires the performer's "informed consent" via a "clear and conspicuous" standalone agreement specifying the intended use.[13] The producer must provide 48-hour advance notice before scanning. The replica can only be used for the specific purpose described in the consent agreement; additional uses require additional compensation. These are meaningful protections.

A Synthetic Performer, by contrast, is a fully AI-generated character not based on any specific real performer's likeness. For Synthetic Performers, the contract requires only notice and an opportunity to bargain—no consent requirement, no mandatory compensation. This distinction matters because it creates an obvious incentive: studios can avoid the consent and compensation requirements for Digital Replicas by using Synthetic Performers who are trained on aggregated performer data without being tied to any individual.

B. The Background Performer Gap

The contract's protections for background performers are substantially weaker. As noted in Section III, the General Background Actor day rate as of November 9, 2023, was $208—covering both the day's work and the creation and same-production use of a digital scan.[14] There is no separate compensation requirement for the scan; it is bundled into the day rate. There is no anti-retaliation provision specifically protecting background actors who decline scan consent. There is no tracking mechanism to audit how background performer scans are used across productions.

The SAG-AFTRA AI Basics Bulletin, issued in July 2024, acknowledged limitations in the contract's reach, stating: "We are actively pursuing legislation that would provide further protections" for performers not covered by the collective bargaining agreement.[15] This is a significant admission: eight months after ratifying a "landmark" contract, the union itself was pursuing external legislation because the contract did not provide adequate coverage.

C. The Non-Union Coverage Gap

The most significant gap in the 2023 contract is its inapplicability to non-union performers. SAG-AFTRA contracts govern only union productions and union members. The broader performing workforce—non-union background actors, performers on non-union productions, students, and emerging performers who have not yet joined the union—has no contractual AI protections whatsoever.

This gap is not incidental. The AMPTP has strong incentives to expand non-union production precisely because non-union productions are exempt from SAG-AFTRA AI consent requirements. The 2020 repeal of the Paramount Consent Decrees—which had prohibited studios from vertically integrating distribution and exhibition—facilitated studio reconsolidation and expanded the production contexts in which non-union labor might be deployed. The non-union coverage gap is, in Stigler's framework, a preserved rent.

D. The State and Federal Legislative Landscape

Recognizing these gaps, several jurisdictions have moved toward statutory AI protections for performers. Tennessee enacted the ELVIS Act (Ensuring Likeness Voice and Image Security) in 2024, extending right-of-publicity protections to AI-generated vocal and visual replicas.[16] California enacted AB 2602 in 2024, which voids contractual provisions that allow AI to replace a performer without their explicit consent.[17] At the federal level, the NO FAKES Act—which

would create a federal right of publicity applicable to AI-generated replicas—has been introduced but has not yet passed as of the time of this writing.[18]

The EU AI Act (2024) provides a comparative reference point. The Act classifies certain AI systems used in creative industries as high-risk and imposes mandatory transparency and human oversight requirements. While its direct applicability to U.S. performers is limited, it establishes a statutory baseline that does not depend on the outcome of any single collective bargaining negotiation.

VI. TOWARD ADEQUATE REGULATION: THREE PROPOSALS

A. Why Collective Bargaining Is Insufficient

Before turning to proposals, it is worth stating directly why collective bargaining, even improved collective bargaining, cannot serve as the primary regulatory mechanism for AI in entertainment.

First, collective bargaining has a coverage problem. Non-union performers—a substantial and growing share of the entertainment workforce—are excluded from any protections a union contract provides. Because the workers most vulnerable to AI displacement are often those least likely to have union membership, collective bargaining systematically underprotects those most in need.

Second, collective bargaining has an expiration problem. The current SAG-AFTRA contract expires June 30, 2026. AI systems are being built, trained, and deployed today on data that will persist indefinitely. A contract that expires in two years cannot address the training data ingested during those two years. The irreversibility of AI training data is incompatible with the cyclical temporality of collective bargaining.

Third, collective bargaining has a non-verifiability problem. Studios are under no obligation to disclose to SAG-AFTRA what AI systems they are developing, what performer data has been ingested, or how digital replicas are being deployed. Without audit rights enforced by an independent body, compliance with AI consent requirements is essentially unverifiable.

B. Proposal 1: Federal Statutory Right of Publicity

The most important regulatory intervention is a federal statutory right of publicity applicable to AI-generated replicas. The NO FAKES Act framework provides a starting template. Such legislation should establish three elements.

First, a universal consent requirement: any AI system that generates a replica of an identifiable performer's likeness—regardless of the performer's union status—requires that performer's prior written consent. Consent must be specific to the use described, cannot be bundled into general employment agreements, and cannot be waived prospectively.

Second, explicit training data protections: studios and AI developers may not use performer likeness data to train AI systems without separate, specific consent and appropriate compensation.

The consent must describe the models to be trained, the data to be ingested, and the retention period. This provision addresses the irreversibility problem: once a performer's data is in a training set, removing it is technically difficult; preventing its inclusion in the first place is far more effective.

Third, a minimum compensation floor that is not waivable by contract: any commercial use of an AI replica — whether the performer is union or non-union — must generate compensation at a rate not lower than a federally established minimum, analogous to how federal minimum wage law sets a floor that no employment contract can bargain away, regardless of what the worker agrees to. This is particularly critical for non-union performers, who currently have no contractual baseline at all.

C. Proposal 2: Independent Audit Body

Federal statutory rights are only as valuable as their enforcement. The Maskin-Tirole analysis identifies the core problem: any regulatory body that depends on industry self-reporting for its information will be subject to the same capture and collusion dynamics as collective bargaining.

An independent audit body—modeled on the FCC's technical compliance audit authority, or an expanded NLRB with AI-specific jurisdiction—should be empowered to audit AI use in productions receiving federal tax incentives, require disclosure of AI deployment data, and investigate complaints from performers. Productions receiving federal subsidies—an expansive category—would be required to file annual AI usage disclosures as a condition of subsidy eligibility. This creates a regulatory lever that does not depend on union bargaining power.

The audit body should be funded by industry fees, sized to include technical AI expertise, and insulated from AMPTP capture by staggered appointment terms and conflict-of-interest disclosure requirements. Its mandate should include both principal performers and background performers, and explicitly cover non-union productions.

D. Proposal 3: Explicit Coverage of Non-Union and Background Performers

The final proposal is the simplest and the most overdue: any federal AI legislation governing the entertainment industry must explicitly and unambiguously cover non-union performers and background actors. The legislative history of entertainment labor law suggests that protections nominally applicable to 'performers' have repeatedly been interpreted to exclude background workers. The statutory text should specify that protections apply to all individuals whose physical likeness, voice, or performance data is captured for potential AI use, without regard to union membership or the budget threshold of the production.

This is not a technically complex proposal. It requires only political will and explicit drafting. Its absence from current legislative proposals reflects the same Stiglerian dynamic that shaped the collective bargaining agreement: diffuse, unorganized background performers lack the political organization to secure their explicit inclusion.

VII. CONCLUSION

The 2023 SAG-AFTRA contract is, on its own terms, a genuine achievement. It introduced explicit AI consent requirements where none existed, created compensation structures for digital replica use, and forced the AMPTP to acknowledge that performer likeness is a property right worth compensating. These are not trivial gains.

But the contract is also a case study in the limits of collective bargaining as AI governance. A $1 billion aggregate settlement alongside a $208 background actor day rate that covers a full-body scan is not an equitable distribution of AI's benefits and costs. A 22 percent dissent vote on a "landmark" contract is a signal, not a footnote. An admission that legislation is needed to fill gaps the contract cannot cover is an indictment of the contract as primary regulatory mechanism.

The Stiglerian and Tirolean dynamics documented here are not aberrations. They are predictable consequences of a regulatory structure that was never designed to protect the workers most exposed to its failures. An industry with a coordinated cartel on one side, an intermediary union hierarchy on the other, and a diffuse and unorganized background workforce at the bottom will produce AI governance frameworks that reflect those power relations. The question is whether federal regulation can interrupt the pattern before the training data is irreversibly ingested, the non-union workforce is permanently displaced, and the leverage to demand anything different has expired along with the current contract on June 30, 2026.

I have worked as a background actor. I have been on sets where AI scanning was presented as a routine part of the day. I have seen the form, understood the coercion, and understood, too, that the person next to me probably didn't have the benefit of a political economy seminar to parse what they were signing. The acting industry is not a metaphor for AI's labor market disruption. It is a leading indicator. The regulation we design for background performers today will set the template for the regulation—or absence of it—that writers, voice actors, graphic artists, and eventually a much broader swath of the labor force will inherit. The time to get the institutional design right is now.

NOTES

1. SAG-AFTRA, "Contract Ratification Results," December 5, 2023. The 78%/22% split was reported by SAG-AFTRA and widely covered in trade press including Variety and The Hollywood Reporter.

2. SAG-AFTRA, "About SAG-AFTRA," sag-aftra.org. Membership figures as of 2024.

3. SAG-AFTRA Background Actors Contracts Digest, February 2025, Schedule X day rate table. The $208 rate applies to General Background Actors for the period November 9, 2023–June 30, 2024.

4. Writers Guild of America, strike dates confirmed via WGA official communications. SAG-AFTRA strike dates confirmed via union press releases.

5. SAG-AFTRA ratification vote results, December 2023. See also coverage in The Hollywood Reporter, December 5, 2023.

6. SAG-AFTRA Background Actors Contracts Digest, February 2025, Section on Digital Replicas.

7. SAG-AFTRA AI Basics Bulletin, July 2024. The Bulletin clarified that voucher-based consent forms were insufficient for digital replica consent.

8. SAG-AFTRA, FAQ on AI Provisions, available at sag-aftra.org. Question: "Can a producer refuse to hire a performer who won't give AI consent?"

9. U.S. Bureau of Labor Statistics, Quarterly Census of Employment and Wages (QCEW), Private Sector, NAICS 5121 (Motion Picture and Sound Recording Industries). LA County (FIPS 06037) figures from raw QCEW CSVs; U.S. national annual averages computed from quarterly third-month employment figures accessed via the BLS QCEW Data Viewer. Note: QCEW covers only employees on establishment payrolls and excludes independent contractors, a significant category in entertainment. True displacement figures are likely higher than QCEW data indicate.

10. CVL Economics, "Future Unscripted: The Impact of Artificial Intelligence on Entertainment Industry Jobs," February 2024, commissioned by the Animation Guild IATSE Local 839. Estimate of 204,000 adversely affected jobs over three years.

10a. Miles Corak, "Income Inequality, Equality of Opportunity, and Intergenerational Mobility," *Journal of Economic Perspectives* 27, no. 3 (2013): 79–102.

11. George Stigler, "The Theory of Economic Regulation," Bell Journal of Economics and Management Science 2, no. 1 (1971): 3–21.

11a. Joseph E. Stiglitz, "Government Failure vs. Market Failure: Principles of Regulation," in Government and Markets: Toward a New Theory of Regulation, edited by Edward J. Balleisen and David A. Moss (Cambridge University Press, 2010).

11b. Sam Peltzman, "Toward a More General Theory of Regulation," Journal of Law and Economics 19, no. 2 (1976): 211–240.

11c. Alliance of Motion Picture and Television Producers, "About AMPTP," amptp.org. The non-statutory labor exemption from federal antitrust law permits employer coordination through collective bargaining. See also *Brown v. Pro Football, Inc.*, 518 U.S. 231 (1996).

12. Jean Tirole, "Hierarchies and Bureaucracies: On the Role of Collusion in Organizations," Journal of Law, Economics, and Organization 2, no. 2 (1986): 181–214.

13. SAG-AFTRA 2023 Memorandum of Agreement, AI provisions governing Digital Replicas. See also SAG-AFTRA AI Basics Bulletin, July 2024, for member guidance on consent requirements.

14. SAG-AFTRA Background Actors Contracts Digest, February 2025. The Digest confirms that the day rate covers creation and same-production use of digital scans for General Background Actors.

15. SAG-AFTRA AI Basics Bulletin, July 2024.

16. Tennessee ELVIS Act (SB 2096/HB 2091), enacted March 21, 2024. The Act extends the Tennessee Personal Rights Protection Act to AI-generated replicas of voice and likeness.

17. California AB 2602, enacted 2024. The bill prohibits contractual provisions allowing AI to digitally replicate a performer without their explicit written consent specifying the intended use.

18. NO FAKES Act, S. 4875 / H.R. 8892 (118th Congress). As of early 2026, the bill had not been enacted. Its status in the 119th Congress (2025–26) should be verified against current congressional records.